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Submitter Information

Name: Virginie Berger

Email:

[REDACTED]

General Comment

In response to the White House Office of Science and Technology Policy's Request for Information on the U.S. Artificial Intelligence Action Plan, I have submitted the attached document, which outlines critical concerns regarding AI training on copyrighted materials.

The submission addresses the misuse of fair use doctrine, the economic and ethical implications for creative industries, and the technical reality of AI as a data compression system rather than true learning. Additionally, it presents policy recommendations to ensure AI development aligns with intellectual property protections, industry sustainability, and long-term innovation.

I strongly encourage OSTP to review the full document to consider these arguments and proposed solutions.

Sincerely,

Virginie Berger

Attachments

AI_Copyright_and_Fair_Use

Virginie Berger, [REDACTED] March 15th, 2025

White House Office of Science and Technology Policy (OSTP) Executive Office of the President Washington, D.C. 20502

Subject: Response to the Request for Information on the U.S. Artificial Intelligence Action Plan – Copyright, Fair Use, and AI Training Practices

Dear OSTP Review Committee,

I appreciate the opportunity to submit comments on the White House Office of Science and Technology Policy's Request for Information regarding the U.S. Artificial Intelligence Action Plan. This response focuses on the legal and technical implications of AI model training, particularly the misuse of fair use doctrine by AI companies, the risks of unchecked data scraping, and actionable policy recommendations to ensure a sustainable balance between technological progress and intellectual property rights.

1. The Legal Framework: Copyright, Fair Use, and AI Training

At the core of the AI copyright debate is the interpretation of fair use under 17 U.S.C. §107 of the Copyright Act. AI companies such as OpenAI and Google argue that their training methods qualify as fair use, enabling transformative AI applications. However, the reality is that large-scale AI training on copyrighted materials is fundamentally different from traditional fair use cases recognized by the courts.

1.1. Key Legal Precedents and Fair Use Considerations:

- **Google v. Oracle (2021):** The Supreme Court ruled that Google's use of Java APIs was fair use due to their transformative application in software development. However, this decision was specific to functional software interfaces and does not provide justification for AI models ingesting expressive copyrighted content such as books, articles, music, and images.
- **Authors Guild v. Google (2015):** The Second Circuit upheld Google's scanning of books for search indexing as fair use because it allowed for snippet-based previews rather than creating substitutes for the original works. However, AI-generated content trained on such works can directly compete with original creators, raising questions about market harm.
- **Thomson Reuters v. Ross Intelligence (Ongoing):** A federal judge ruled that Ross Intelligence's AI model, trained on Westlaw's proprietary legal research materials, could potentially infringe copyright, rejecting an early dismissal of the case. This underscores the principle that AI training does not automatically qualify as fair use if it competes with or replaces the original work's market function.

1.2. The Flawed Fair Use Argument by AI Companies

AI companies claim that training models do not store or reproduce works verbatim, but rather extract linguistic, stylistic, and contextual insights. This argument is flawed because:

- AI models function as data compression machines, encoding and retaining statistical patterns from training data. Rather than simply analyzing data, they internalize and reproduce the essence of creative works, which raises concerns about market displacement and compensation.
- Even with fine-tuning, AI systems retain latent copies of training data, meaning they can reproduce substantial portions of original works when prompted. This is particularly problematic in text generation, music composition, and visual arts, where AI-generated outputs can directly compete with human creators.
- When users request content in the "style of" a specific author or artist, the AI system generates outputs that closely mimic the original, making attribution or licensing necessary. This blurs the lines between inspiration and direct replication, undermining the originality of human-created works.
- Transformation in fair use law requires a fundamentally new purpose, but AI training replicates and monetizes existing creative works without meaningful transformation. AI models do not engage in critique, commentary, or parody, recognized fair use exceptions, but rather replicate and redistribute creative labor without compensation.

Furthermore, AI companies have built their business models on the assumption that they can freely use copyrighted data without consequences. This raises critical ethical and economic questions:

- Why should creators subsidize AI companies' business models? A model that is entirely dependent on obtaining training data for free, while monetizing the results, shifts costs onto creative industries and content owners, creating an unfair economic imbalance.
- AI systems derive value from data, not from the algorithm itself. While AI models like GPT-4 and Gemini rely on sophisticated architectures, their commercial and functional value comes from the vast amounts of copyrighted material they ingest and encode. Without access to these works, the AI itself would be significantly weaker, proving that the true value lies in the data, not the system.

2. The Technical Reality: AI Training as Data Compression, Not Learning

Machine learning models do not "learn" in the way humans do. Instead, they operate as massive data compression and pattern-recognition systems, capturing and storing vast amounts of pre-existing human knowledge without generating fundamentally new ideas. The training process involves:

- Ingesting copyrighted data to build probability distributions that reflect linguistic, musical, or artistic styles. This enables AI to replicate and produce content in these styles upon demand, making its outputs dependent on pre-existing works.
- Storing these patterns in model weights, making it possible for AI to reproduce training data with a high degree of fidelity, even when unintended.
- Fine-tuning not being transformative enough to prevent AI from unintentionally or intentionally regurgitating copyrighted materials when prompted. This is particularly evident in models that generate highly specific, derivative works based on input prompts that mimic existing authors, composers, or artists.

Under this framework, unrestricted AI training constitutes unauthorized commercial exploitation of copyrighted materials, warranting stronger regulatory oversight. Additionally, the claim that limiting AI training on copyrighted data would harm national security is misleading:

- Creative content is not a national security asset. Unlike foundational scientific or military data, books, music, and artistic works do not provide a strategic advantage in geopolitical conflicts.
- Restricting AI training does not limit AI advancement in defense or security applications. National security concerns around AI focus on adversarial attacks, cybersecurity, and misinformation, not whether AI can generate human-like poetry.
- The argument that China has an advantage in AI due to access to data ignores the importance of proprietary datasets. U.S. companies already lead in AI due to access to exclusive, high-quality training datasets, including those derived from corporate and academic research, rather than copyrighted creative content.

Thus, the claim that AI companies should be granted broad fair use exemptions under national security grounds is a misdirection meant to deflect from the core issue: AI models rely on copyrighted content to function effectively, and compensation for creators is necessary.

3. Economic and Ethical Implications: Who Benefits, Who Loses?

Unchecked AI training on copyrighted content creates an unfair economic imbalance where:

- AI companies extract value from copyrighted content without compensation, while creators lose licensing revenue. In 2022, arts and cultural economic activity accounted for 4.3% of the U.S. GDP, totaling \$1.10 trillion (BEA, 2022).
- The market for original works shrinks, as AI-generated alternatives flood digital platforms, reducing demand for human-made work. This could lead to significant job displacement in creative industries, with estimates suggesting up to 30% of creative industry jobs may be affected by 2030 (World Economic Forum, 2023).
- A monopolization of AI-powered creativity occurs, where a few large tech companies profit from vast datasets collected without consent, leaving smaller creators unable to compete. This mirrors past concerns in the streaming and publishing industries.
- Journalistic integrity and misinformation risks rise, as AI models produce content without proper attribution, leading to concerns about trustworthiness in news reporting. AI-generated content has already been linked to misinformation, including fabricated news articles and deepfakes (MIT Technology Review, 2023).
- The erosion of U.S. soft power and cultural influence, as AI-generated content dilutes the authenticity of creative industries that contribute to America's global image and cultural exports. The U.S. media and entertainment industry is the largest globally, valued at \$649 billion, representing 23% of the global market (Trade.gov, 2023). If AI-generated content undermines traditional media and film production, the U.S. risks losing its leading role in global storytelling and influence.
- Financial risks to key sectors such as film, music, and publishing, which collectively generate \$877 billion in revenue annually and support over 5.1 million jobs in the

U.S. (BEA, 2021). Uncompensated AI training on copyrighted works threatens the economic sustainability of these industries, discouraging investment in new projects.

- A weakened creative ecosystem, where diminishing financial returns discourage artistic innovation, impacting everything from Hollywood blockbusters to independent journalism and music production. This was evident in the 2023 WGA and SAG-AFTRA strikes, where a central issue was AI replacing creative professionals without proper compensation or consent, underscoring the growing tensions between AI and human creativity.

4. Policy Recommendations: Building an Equitable AI Copyright Framework

To ensure that AI development does not come at the expense of intellectual property rights, the following proactive policy measures should be implemented:

4.1. Establish a Licensing and Compensation Framework for AI Training

- Require AI companies to obtain licenses for copyrighted materials included in training datasets, similar to compulsory licensing systems in the music industry.
- Develop an AI copyright registry where content creators can register works they do not want included in training datasets, making exclusion legally binding.
- Implement collective bargaining frameworks for AI dataset licensing, ensuring fair compensation for creators, akin to collective rights management organizations in the music and publishing sectors.
- Introduce AI-specific copyright tariffs, requiring AI companies to pay into a fund that distributes royalties to content creators based on dataset usage analytics.

● 4.2. Mandate Transparency and Attribution in AI Training

- Require public disclosure of training datasets used in AI development to ensure compliance with copyright laws.
- Enforce attribution requirements for AI-generated content that mimics specific styles, ensuring recognition of original creators.
- Develop watermarking technologies to distinguish AI-generated content from human-created works, potentially using blockchain-based provenance tracking.
- Prohibit the use of copyrighted materials without compensation in the development of autonomous AI agents, ensuring that future AI systems (e.g., agentic AI, AGI) cannot exploit copyrighted works as foundational knowledge without proper licensing.

● 4.3. Future-Proofing Copyright Policy Against Emerging AI Risks

- Regulate AI training with quantum computing capabilities, ensuring that exponentially more powerful AI models do not bypass copyright laws through hyper-efficient data extraction.
 - Establish governance over AGI to ensure that future AI systems respect intellectual property at scale and do not create self-improving models that continuously absorb copyrighted material without oversight.
 - Address anthropomorphic AI risks, ensuring that AI-generated personas trained on existing creative works do not mislead consumers or infringe upon the artistic identities of real individuals.
 - Mandate digital identity protection for creators, preventing AI models from replicating the styles, voices, or likenesses of human artists and writers without explicit consent.
- 4.4. Support for Creative Industries and AI Ethics
 - Introduce AI tax incentives for ethical development, rewarding AI companies that license training data responsibly rather than relying on scraped or unauthorized content.
 - Fund research into AI-driven creative tools that enhance rather than replace human creators, fostering collaboration between AI and artistic professionals.
 - Create public grant programs to support artists, musicians, and journalists impacted by AI disruptions, ensuring that AI-driven changes do not erase creative careers but instead encourage sustainable innovation.
 - Develop AI literacy programs for the creative sector, ensuring that professionals understand how AI affects their industries and how they can leverage AI tools while safeguarding their rights.

These proactive measures will ensure that AI development does not undermine intellectual property laws, cultural industries, or creative labor markets while promoting innovation that aligns with ethical AI principles and economic fairness.

5. Conclusion

As AI technology continues to evolve, it is crucial that policymakers do not allow AI companies to redefine fair use in their favor. The U.S. must protect its creative industries, ensure fair competition, and promote ethical AI development. The above recommendations provide a structured approach to balancing innovation with intellectual property protections.

I strongly urge OSTP to incorporate these recommendations into the U.S. Artificial Intelligence Action Plan to create a regulatory framework that safeguards creators while fostering responsible AI advancements.

Sincerely,

Virginie Berger